

**Was there collusion among the dealers to keep CDO prices unchanged, even in the face of collapsing prices of the MBS that made up the CDOs?**

It's hard to see how there wasn't. The real malfeasance occurred in February when the ABX fell off a cliff, but the CDO machine kept grinding away. We went to the SEC to try to make them aware that there was a profound, systemic failure occurring in the integrity of capital markets.

**What was the specific advice you gave them?**

We told them they needed to look at the CDOs and the assumptions the rating agencies were using to rate the CDOs because transactions were occurring at prices that were completely out of line with the value of the securities being sold. Ultimately, it was all about the rating agencies. The rating agencies rated thousands of securities with the same grade as U.S. Treasuries when they weren't worth more than the paper they were printed on the day they rolled off the press. And yet, despite this horrific record, the market still jumps when the rating agencies opine about the creditworthiness of a sovereign bond. I can't believe they have any credibility left at all. It is difficult to come up with a more extreme case of failure to do a purported job. Until recently, the rating agencies have shielded themselves from any responsibility, not on the substance of their argument, but rather by deflecting any claims under the shield of free speech in the First Amendment.

**I'm afraid I know the answer, but what happened after the SEC meeting?**

They seemed thoughtful and interested in what we had to say, but it's not clear to us if they ever followed up.

**What caused the dealers to finally mark down the CDOs?**

It was precipitated by the launch of the TABX, which was an index that created synthetic CDO tranches based on the mezzanine tranches of the ABX index. When the TABX was created in early 2007, mezzanine tranches of the ABX index were already trading at prices that reflected substantial impairment. By implication, the lower tranches of a CDO